

Nifty 50 Options Strategy Framework

Comparative Execution Rules: Intraday Scaling vs. Weekly Holding

Total Allocated Capital: ₹4,00,000	Allocation Split: ₹2,00,000 / Track	Underlying Index: Nifty 50 (NSE)
Primary Indicators: Ichimoku Cloud, 20 EMA, MACD	Execution Horizon: Intraday vs. Weekly Expiry	Document Version: 1.0 (Paper Trade Spec)

1. Executive Summary & Strategy Rationale

The Indian Nifty 50 index frequently transitions between low-volatility range-bound consolidation ("choppy" movement) and sharp, sudden directional breakouts. Navigating this regime without structural hedging creates severe drawdown risk due to whipsaws or rapid theta decay.

This document specifies a strict paper-trading experiment designed to benchmark two distinct tactical approaches across identical market conditions:

- Track A (Intraday Debit Momentum):** Capitalizes on short-term gamma and delta expansion using defined-risk single-leg or spread purchases during directional cloud breakouts.
- Track B (Weekly Credit Decay):** Harvests premium decay (theta) during choppy consolidation phases using 4-leg defined-risk Iron Condor structures, protecting against sharp tail-risk events.

Paper Trading Goal: Determine which execution model delivers superior risk-adjusted returns (Sharpe Ratio), manageable drawdowns, and operational efficiency over a 4-week testing cycle.

2. Dual-Track Architecture & Allocation

Track A: Intraday Momentum

DEBIT

Capital: ₹20,00,000 (Paper Capital)

Instrument: ITM / ATM Call & Put Options

Target Horizon: 5 mins to 2 hours (Closed intraday)

Primary Driver: Delta ($\Delta \approx 0.50 - 0.60$) expansion & MACD volume acceleration.

Theta Risk: Low (Positional exposure terminated daily).

Track B: Weekly Time Decay

CREDIT

Capital: ₹2,00,000 (Paper Capital)

Instrument: 4-Leg Hedged Iron Condor

Target Horizon: 2 to 5 Days (Held toward weekly expiry)

Primary Driver: Theta (Θ) decay during non-directional consolidation.

Gamma Risk: Hedged via long protective wings.

3. Execution Playbook & Rulebook

Track A: Intraday Debit Momentum Setup

Entry & Exit Rules (1-Min / 5-Min Timeframe)

- **Entry Condition:** Price consolidates near 20 EMA / Ichimoku Cloud. Enter on strong breakout candle with MACD histogram expanding above zero line.
- **Strike Selection:** Slightly ITM or ATM options (Delta $\Delta \geq 0.50$) to maximize directional move and minimize intraday decay.
- **Risk Management:** Maximum risk per trade capped at 2% of capital (₹4,000). Maximum total position outlay < ₹15,000 per trade.
- **Exit Rule:** Exit immediately when MACD histogram flattens/reverses or price closes back inside the 20 EMA. Target minimum Risk-to-Reward of **1 : 2**.

Track B: Weekly Credit Decay Setup

Entry & Exit Rules (15-Min / 1-Hour Timeframe)

- **Entry Condition:** Deployed on Monday morning or after an initial directional move exhausts near major Cloud support/resistance.
- **Structure (Iron Condor):**
 - Sell 1 OTM Call ($\Delta \approx 0.15$) + Buy 1 OTM Call (100 pts higher wing).
 - Sell 1 OTM Put ($\Delta \approx 0.15$) + Buy 1 OTM Put (100 pts lower wing).
- **Margin Allocation:** Utilizes ~₹1,20,000 - ₹1,50,000 margin for 2-3 lots, holding remaining capital as buffer.
- **Exit Rule:** Close position when 50% - 60% of total credit is captured, or exit tested side if spot price touches the short strike.

4. Technical Comparison Matrix

Execution Metric	Track A: Intraday Scalping	Track B: Positional Iron Condor
Market State Best Suited	High momentum / Sharp directional legs	Sideways chop / Range-bound drift
Win Rate Expectation	38% - 48% (High reward-to-risk ratio)	68% - 78% (High probability of profit)
Impact of Whipsaws	High (Triggers stop-loss frequently in chop)	Low (Time decay offsets minor noise)
Slippage & Brokerage Drag	High (Multiple daily executions)	Very Low (1-2 structural trades / week)
Max Drawdown Control	Strict stop-loss dependent	Mathematically capped by wing structure

5. Paper Trade Tracking Sheet Format

Record all simulated orders in the standardized template below to ensure unbiased evaluation after 20 trading sessions:

Date	Track	Strategy / Legs	Entry	Exit	Net Points	Realized PnL (₹)
2026-08-25	Track A	Nifty 24150 CE (Buy)	112.50	148.00	+35.50	+₹2,662.50
2026-08-25	Track B	Nifty 24000/24300 Condor	42.00 (Cr)	18.00	+24.00	+₹3,600.00
2026-08-26	Track A	Nifty 24200 PE (Buy)	98.00	76.00	-22.00	-₹1,650.00